

But what's his true secret? Market timing? Good money management? A knack for finding good tenants and real estate gems? Sure. He was smart about all those things. But I think his real secret was this: *beans now, steak later*. If you have a mortgage, you have debt, and when you have debt, you don't get to have steak. The steak comes later. It's your reward. *That's* the kind of man I admire. I love how he became incredibly rich through diligence. I love how he used the bank's rules to his advantage and beat them at their own game.

His path to fortune was via residential property, but he shares the two traits that most wealthy people possess: a joyful frugality balanced by a painful aversion to debt. I want you to cultivate those two traits. Instead of being resentful that you can afford only beans because you've decided to cut spending, save aggressively and invest strategically. Let that sacrifice fill you with boundless pride. Because you're on the road to riches.

5 Investment Rules to Live By

Investing doesn't have to be scary or complicated. Here are five easy-to-follow investment rules that anyone can follow:

1. **Diversify.** Look at your portfolio and remember my rule. Make sure that you're investing only 5 percent of your money in any one stock or bond, and only 20 percent in any one segment (for example, energy). Anything more than that and you're courting risk and destabilizing your portfolio.
2. **Insist on dividends.** Never buy a security that doesn't pay a dividend or a bond that doesn't yield interest. Think of it like you're renting out your money. Don't let someone live in your spare room for free.
3. **Don't invest in anything you don't understand.** Billionaire Warren Buffett always abides by this rule. He puts his money in *things*, not concepts. Oil, soap, insurance, computer technologies—these are recognizable products. He keeps it simple. When people invest in new products like “mortgage-